

ENGLISH **LIVE**

48

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 48

5th APRIL, 2017



Stand Firm on Good Governance Norms

First ensure it is possible to enforce them

It is welcome that the government did not back down on the decision to switch over to tougher emission norms codified as Bharat Stage IV (BS-IV) for automobiles. This changeover was announced years ago and industry had plenty of time to switch production lines and be compliant by the deadline. If it thought it could game the system and blackmail the government with tales of inventory build-up that would be a dead loss, it thought wrong. This is all to the good. When the time comes for the automobile industry to switch over to BS-VI, on April 1, 2020, industry will know that the goalpost would not shift and will be ready with compliant vehicles probably ahead of schedule. A similar stand has been taken for tighter emission norms for power plants as well.

For too long, the Indian approach has been to frame laws and observe them more in the breach than otherwise. For long, governments have succumbed to threatened shocks to the system, such as a spurt in unemployment and opted to let implementation slide. That governments, central and state, are moving away from that model is welcome news. To set norms to ensure health, address environmental concerns, protect workers, etc, is good for all stakeholders — those who work in these sectors, the general public, and for the sector as well. Often, tighter norms pave the way for innovation to improve processes. The government is supposed to be the one place where the interests of all groups are addressed. Laws and regulations are an instrument that ensures the well-being of diverse stakeholders. Fear of a backlash from one section should not lead the government to compromise the interest of others.

However, it is important for the norms that are to be enforced to be evolved after consultation and negotiation with all stakeholders, that there should be reasonable time for transition. Besides, the governance structure needed to enable the transition must be put in place. If qualified food inspectors must certify all food sold, for example, a large enough army of food inspectors must be ensured before that norm is enforced.



THE ECONOMIC TIMES

Date : 4th April, 2017



DISCUSSION ON
5th April (Today)



DISCUSSION ON
6th April (tomorrow)

Separate Illegality & Corporate Structure

Not all 'shell companies' have shady business

The threat of arbitrariness and excess hangs over Indian business today, after the Finance Bill has armed junior taxmen with discretionary powers of search and seizure and with the ongoing crackdown on shell companies. The term shell companies is loaded: some nefarious intent or the other is implied by its very nomenclature. All companies without an operational business are not meant for ulterior purposes. One company's purpose, for example, could be to accumulate shares in a takeover target, without triggering an open offer till the relevant threshold is reached, fully in compliance with the law. Another could be used to hold intellectual property licensed to companies around the world. Yet another's purpose might be to hold a company meant to be spun off after meeting some financial targets. There are any number of legitimate purposes for creating and operating so-called shell companies.

The reform that is required to prevent such companies from being used to anonymise undesirable transactions is a mandatory requirement for companies to declare their beneficial owner, on the lines of the reform brought about by the David Cameron government in Britain. The G20 has been trying to get member countries and other jurisdictions

to adopt the requirement of a unique legal entity identifier. If all companies and persons have a unique identifier, like Aadhaar for Indian residents, the beneficial ownership can be traced along a hierarchy of holding and cross-holding companies. If a company is identified as carrying out money laundering, say, the beneficiary of that activity would become apparent, if such a reform is carried out. The point is to separate illegal transactions from the corporate structure in which it is carried out and to penalise illegality, not damn the corporate structure that has a great many legitimate uses.

Paradoxically, the twin reforms of anonymous electoral bonds and removing an existing cap on corporate donations to political parties encourages the setting up of shell companies for the specific purpose of funding parties.



THE ECONOMIC TIMES

Date : 3rd April, 2017

LIVE

Stand Firm on Good Governance Norms

LIVE

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governments, central and state, are moving away from that model is welcome news. To set norms to ensure health, address environmental concerns, protect workers, etc, is good for all stakeholders — those who work in these sectors, the general public, and

for the sector as well. Often, tighter norms pave the way for innovation to improve processes. The government is supposed to be the one place where the interests of all groups are addressed. Laws and regulations are an instrument that ensures the well-being of diverse stakeholders. Fear of a backlash from one section should not lead the government to compromise the interest of others.

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Stand Firm on Good Governance Norms

THE ECONOMIC TIMES

Date : 4th April, 2017



Stand firm on good governance norms

LIVE

- It is welcome that the government did not back down on the decision to switch over to tougher emission norms codified as Bharat Stage IV (BS-IV) for automobiles. This changeover was announced years ago and industry had plenty of time to switch production lines and be **compliant** by the deadline. If it thought it could game the system and **blackmail** the government with **tales** of **inventory** build-up that would be a dead loss, it thought wrong.
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- To set norms to ensure health, address environmental concerns, protect workers, etc, is good for all **stakeholders** — those who work in these sectors, the general public, and for the sector as well. Often, tighter norms **pave the way** for **innovation** to improve processes. The government is supposed to be the one place where the interests of all groups are addressed. Laws and regulations are an instrument that ensures the well-being of diverse stakeholders.
- Fear of a **backlash** from one section should not lead the government to **compromise** the interest of others.
- However, it is important for the norms that are to be **enforced** to be **evolved** after consultation and negotiation with all stakeholders, that there should be reasonable time for **transition**. Besides, the governance structure needed to **enable** the transition must be put in place. If qualified food inspectors must certify all food sold, for example, a large enough army of food inspectors must be ensured before that norm is enforced.



BS IV FROM 1ST APRIL, 2017

LIVE



Ashok Leyland



IndianOil



1 What are BS III / BS IV / BS VI?

1 BS means “Bharat Stage”... These are emission control standards

2 BS norms were introduced in 2000, to keep a check on air pollution

3 These are based on European standards (Euro norms)

4 They set specific limits for the release of air pollutants from IC engines, including vehicles

5 Higher the stage, the more stringent the norms, i.e. Stage VI is more stringent than stage IV

6 At present, BS IV standard is implemented in select cities only.



7 Entire country will switch over to BS IV norms by 1st April 2017

8 Subsequently, BS VI will be introduced from 1st April, 2020, skipping BS V

9 Fuel supplied by oil refineries should comply to BS IV norms by April 1, 2017 and BS VI norms by April 1, 2020

10 Vehicles have to be equipped with engines compliant with the new standards, from 1st April, 2017 for BS IV as well as from 1st April, 2020 for BS VI

Hence, both oil refining companies and auto manufacturers have to make modifications



2

What are the changes required?



IndianOil



- The oil refiners require investments for upgradation to produce cleaner fuel .



- They have to upgrade the engines compliant with BS IV norms
- They may entail additional expenditure.
- The cost of vehicles may also go up slightly from April 1, 2017.

3

What are the changes in emissions?

LIVE

PETROL EMISSIONS

NORMS	CO	HC	NO _x
BS III	2.30	0.20	0.15
BS IV	1.00	0.10	0.08
BS VI	1.00	0.10	0.06

These figures are gms / km

NOTE

These figures vary from source to source

**DIESEL EMISSIONS**

NORMS	CO	HC	NO _x	HC+NO _x	PM
BS III	0.64	-	0.50	0.56	0.05
BS IV	0.50	-	0.25	0.30	0.025
BS VI	0.50	-	0.06	0.17	0.005

These figures are gms / km

NOTE

These figures vary from source to source



IndianOil



- No problem with oil refiners.
- They are ready.



Ashok Leyland



Mahindra

- Knowing very well in advance that BS IV is to be implemented from 1st April, 2017, they hold a stock of 8 lakh of vehicles of BS III which include 7 lakh two-wheelers and other include commercial vehicles, cars, three-wheelers etc.



Now, they want to sell them after 1st April, 2017 also.
Supreme Court said No

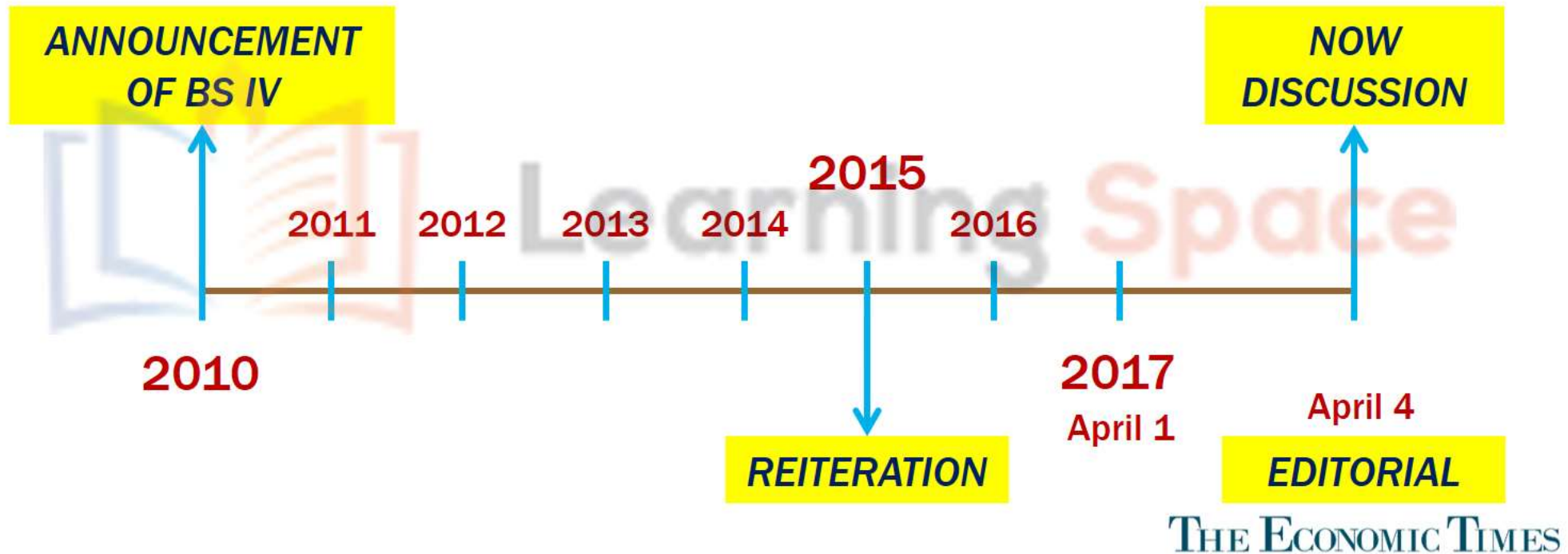


Stand firm on good governance norms

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Compliance

*India has got several rules and regulations, but **compliance** is the difficult part.*



Narendra Modi

Compliance

The act of obeying order / rule / request



Blackmail

Some of the countries are resorting to nuclear **blackmail**.



Blackmail

The use of threats or the manipulation of someone's feelings to force them to do something



Tale

*The Turkmens have a rich folklore tradition of epic stories, **tales** and lyric poems.*



Tale

A story, especially one that might be invented or difficult to believe

Tale

A fictitious or true narrative or story, especially one that is imaginatively recounted



Inventory

*High **inventories** by companies may affect their balance sheets.*



Inventory

Complete list of items such as goods / property, etc.



Stand firm on good governance norms

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Goalpost



Goalpost

BS IV

BS VI

2017

2020



Goalpost

Target date



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DEBIT CARD BREACH



SECURITY BREACH





Succumb



*Rajesh **succumbed** to injuries, sustained during the road accident.*



*The Govt. did not **succumb** to the pressure of the opposition in Parliament and passed certain important bills as money bills.*

Succumb

To die from an illness / injury

Succumb

Fail to resist pressure, temptation



Spurt

*There is **spurt** in sugar prices in recent times.*



Spurt

Sudden increase of an activity / speed



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Stakeholders



A person or group of people who own a share in a business.

After the entry of Reliance Jio, now the executives of Airtel and Vodafone need to think about the whole business and how it creates value for the customers and stakeholders?



Stakeholders

Stakeholders



Innovative

***Innovation** and scientific temper must be inculcated in young minds so as to take country forward*



Innovative

Using new methods or ideas



Paves the way

*The recent instructions by SEBI will **pave the way** for more retail participation in the capital markets.*



Paves the way

To create the circumstances to enable something to happen



Stand firm on good governance norms

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Fear of a **backlash** from one section should not lead the government to **compromise** the interest of others.



Backlash

*There was no **backlash** subsequent to demonetisation, in general, people supported the government's move.*



Backlash

A strong negative reaction by a large number of people, especially to a social or political development.



Compromise

*Govt. is firm on reducing cash transactions and said there will not be any **compromise**.*



Compromise

A situation in which the people or groups involved in an argument reduce their demands in order to reach an agreement



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Enforce

*There are several laws in our country and the biggest problem is their **enforcement**.*



Enforce

To make people obey a law or rule



Evolve

*During the past 3 years, Shri Narendra Modi **evolved** as a strong and decisive leader.*



Evolve

To develop gradually / something changes gradually



Transition

*Several Indian organisations try to maintain status quo and they feel **transition** as a painful affair. But, the tech-related companies need to embrace evolving technologies so as to stay on in the competition .*



Transition

The process of changing from one system to another



Enable

Concentrating on nutrition security will **enable** India to come out of the problem of malnutrition



minerals



vitamins



Enable

To make something able to do something / to make something possible



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